
PAPERBOY

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Tencent is reported to have rented its way around US export controls, leasing about 100,000 Nvidia chips inside Oracle data centres in Southeast Asia - and not one of the three companies will confirm it.

AI

Tencent reportedly leases 100,000 Nvidia chips from Oracle, and nobody will confirm it

WHAT HAPPENED

The Financial Times reported Thursday that Tencent has signed a five-year agreement worth roughly \$7bn to lease about 100,000 advanced Nvidia AI chips inside Oracle data centres in Southeast Asia, with around 30% paid up front. Chinese firms cannot buy those chips. Nothing in current US rules stops them renting compute abroad. Oracle and Tencent did not respond to requests for comment, and Reuters said it could not verify the report; every subsequent story, [TrendForce's included](#), is an aggregation of that single piece. The one solidly primary-sourced number in the story is Tencent's own: [capital expenditure of RMB 52.8bn in the second quarter, up 176% year on year](#).

WHAT IT MEANS

Export controls govern chips crossing borders, not workloads crossing them. If the deal is real, the remote-access gap is suddenly worth billions a year and a US hyperscaler is sitting on the other side of it. Treat every figure as the FT's until someone goes on the record.

WATCH NEXT

Any on-record statement from Oracle, Tencent or Nvidia, and whether BIS moves to cover remote access rather than shipment.

HPE books a \$1.2bn Vultr order and raises its AI-networking guide above \$3bn

WHAT HAPPENED

Hewlett Packard Enterprise disclosed a \$1.2bn order from Vultr, its first for the AMD Helios platform, bundling scale-up switching and software with the compute. On the strength of it HPE now expects cumulative fiscal-2026 "networks for AI" orders to [exceed \\$3bn](#), up from a prior \$2.5bn-\$3bn range. Management framed supply rather than demand as the binding constraint, noting orders grew 3.5 times faster than revenue in the third quarter. CFO Marie Myers: "Demand is continuing to outpace supply." The shares closed about 4% higher.

WHAT IT MEANS

The AI build-out is spreading past the accelerator. Switching, optics and the software that lashes racks together are now where the incremental order lands, and a neocloud rather than a hyperscaler is writing the cheque.

WATCH NEXT

Whether orders-to-revenue conversion improves in HPE's fiscal Q4, and whether AMD's Helios wins a second named customer.

Halluminate raises \$30m because frontier models still fail banker work half the time

WHAT HAPPENED

Halluminate, a nine-person startup selling AI training and evaluation environments built for financial work, raised a \$30m Series A led by Oak HC/FT. It says four of the top five US closed-source labs are customers and that it is [profitable on a mid-eight-figure annualised run rate](#). Its August benchmark put seven frontier models through a simulated M&A due-diligence process of 88 tasks; the best average score was 51%. CEO Jerry Wu calls the pressure to keep raising environment difficulty the "Moore's law of environments", and reckons it has to double every six to eight months.

WHAT IT MEANS

The scarce input has moved from weights to the places models practise. A 51% top score on structured diligence is the whole distance between an impressive demo and something a bank will let near a deal.

WATCH NEXT

Whether the labs keep buying environments or pull the capability in-house, which is what happened to data labelling.

TrendForce lifts its 2027 HBM price forecast to plus 121%

WHAT HAPPENED

TrendForce has revised its 2027 high-bandwidth-memory outlook upward and now projects the [blended average selling price will rise 121% year on year](#), citing supply that stays constrained through the HBM4 ramp, with HBM4E ramping gradually in the second half of 2027. Seoul Economic Daily, citing TrendForce, puts a 12-high 36GB HBM4 stack at roughly \$1,300 in 2027 against about \$600 in 2026, and HBM's share of global DRAM wafer capacity rising from around 20% today toward 30% next year; those two figures are not in TrendForce's public release and should be read as single-outlet. Micron told its [September 30 earnings call](#) it had "completed agreements for the vast majority of our calendar 2027 HBM bit supply with significant price increases year-over-year".

WHAT IT MEANS

A 121% blended ASP rise is not a cycle, it is a queue. Memory makers are selling 2027 output now at prices set by scarcity, and the capacity being added to relieve that scarcity is the thing that eventually ends the margin.

WATCH NEXT

Samsung and SK Hynix results in late October for their own 2027 allocation language, and HBM4E qualification news.

Chips carried a flat tape while China went on holiday

WHAT HAPPENED

Semiconductors were the one thing working on Thursday. SOXX closed at \$576.33, [up 1.35%](#), against a broad market that barely moved; Micron rose 3.03% on memory read-through from the HBM forecasts. The sector had little fresh news to trade on: no BIS or Commerce export-control action published in the window, nothing on TSMC, ASML or Intel 18A, and TrendForce's spot note observing that "as China's National Day holiday begins, spot market quotations were scarce". Digitimes remains inaccessible, so three Taiwan-sourced leads from earlier in the week stay unverified.

WHAT IT MEANS

Price forecasts are now doing the work that order books used to do. With China's market shut for the holiday week and no policy news, the sector is trading on one research house's 2027 estimate, which is a thin foundation for a 1.35% day.

WATCH NEXT

TSMC's September revenue around October 10 and ASML's Q3 on October 15 - the first hard numbers after a week of forecasts.

Manufacturing is expanding and its input costs just jumped 6.8 points

WHAT HAPPENED

The September ISM Manufacturing PMI came in at **54.5%**, a ninth straight month of expansion, with new orders at 55.3 (up 1.6) and employment at 52.7 (up 1.5). The number that matters is the Prices index at 77.9%, up 6.8 points from 71.1%. S&P Global's final US manufacturing PMI read **55.9, the strongest since May 2022**, revised down from a 57.0 flash. Labour stayed tight: initial jobless claims for the week ending September 26 were **197,000**, down 1,000, with the four-week average falling to 200,000 and continuing claims at 1,701,000.

WHAT IT MEANS

This is the uncomfortable combination. Growth is accelerating, hiring is holding, and the cost of inputs is rising fast on tariffs, energy and steel shortages. A Fed that already hiked 25 basis points in September has no disinflation to point at.

WATCH NEXT

September payrolls at 08:30 ET today, consensus around 100,000 with unemployment at 4.2%, then September CPI around October 13 and the FOMC on October 27-28.

Bonds rallied, oil jumped 3%, and the ten-year briefly touched a 2002 high

WHAT HAPPENED

Thursday closed with the S&P 500 at **7,666.45, up 0.19%**, the Dow at 50,926.56 and the Nasdaq Composite at 26,871.60, both up fractionally. The ten-year Treasury yield fell five basis points to **5.24%** and the thirty-year to 5.61%, but only after the ten-year hit an intraday 5.342%, its highest since April 2002. Oil went the other way: **WTI settled at \$92.87, up 2.71%**, and December Brent closed around \$102, up roughly 4% from \$98.03, after **China halted fuel exports**. The November Brent contract had expired at \$103.50 the day before.

WHAT IT MEANS

A five-basis-point rally after an intraday twenty-four-year high is not a change of direction, it is a bounce inside one. And a 4% move in Brent on a Chinese export decision puts the energy term back into an inflation print that already has ISM prices at 77.9.

WATCH NEXT

Whether December Brent holds above \$100 and whether the ten-year takes out 5.342% on today's payrolls.

Someone is stealing AI hardware by the truckload

WHAT HAPPENED

Fortune reported Thursday that an Nvidia-branded truck was stolen and later recovered loaded with 20,000 pounds of sand in place of its cargo, part of what the piece describes as a [\\$150m AI hardware theft problem](#). The sand is the detail that gives it away: swapping ballast for freight means the thieves wanted the weight on the scale to match the manifest. The figure and the incident come from a single outlet and we have not seen a police or insurer confirmation.

WHAT IT MEANS

Accelerators now have the price-to-weight ratio of precious metal and the resale liquidity of consumer electronics. That combination reliably produces organised cargo crime, and it lands on freight insurance rates before it lands on anyone's balance sheet.

WATCH NEXT

Whether cargo insurers start pricing accelerator freight separately, and any FBI or CHP charging announcement.

STARTUPS

Kevin Mandia's Armadin raises \$255.5m at over \$2.5bn, seven months out of stealth

WHAT HAPPENED

Armadin, the autonomous offensive-security company founded by Mandiant founder Kevin Mandia, raised a [\\$255.5m Series B co-led by Andreessen Horowitz and Accel](#), valuing it at more than \$2.5bn and taking total funding to \$445m - seven months after it left stealth. Bain Capital Ventures and Redpoint joined; 8VC, Ballistic, Google Ventures, In-Q-Tel, Kleiner Perkins and Menlo returned. The product runs AI agents that continuously attack a customer's own estate. Mandia: "AI lets an attacker find and chain weaknesses faster than any human team can respond. The only way to build a defense that keeps pace is to train it against the best offense available, every day."

WHAT IT MEANS

This is the cyber-offence thesis getting institutional money at a real valuation, one day after Anthropic published numbers on open-weight models writing exploits for about \$20. The two stories are the same story from opposite ends.

WATCH NEXT

Whether Armadin discloses revenue or named enterprise customers, and whether CISA comments on autonomous red-teaming.

Satlyt raises \$8m to run models on other people's satellites

WHAT HAPPENED

Satlyt, founded by Rama Afullo, previously at Google Cloud and SpaceX's Starlink, closed an [\\$8m seed led by Non Sibi Ventures](#), whose partner is former NASA astronaut Bernard Harris. The software lets AI models run on-board spacecraft across multiple operators so data is processed in orbit instead of downlinked. It names Momentum - where it ran Google DeepMind's Gemma model - plus NASA, Stellerian and TakeMe2Space, and says early trials cut transmission volumes for software errors by over 60%. Afullo's pitch: "The folks like SpaceX who are doing orbital data centers - if they are the iPhone, we'll build Android as a horizontally integrated, open ecosystem."

WHAT IT MEANS

Downlink bandwidth, not compute, is the constraint on satellite data, so inference at the sensor is the obvious arbitrage. The harder question is whether satellite operators want a shared software layer or their own.

WATCH NEXT

Named launches with inference payloads, and whether any large constellation operator signs.

Thursday's slate was small, European and quietly defence-flavoured

WHAT HAPPENED

Beyond Armadin, the day's rounds were mid-size and mostly European: Osavul, a Ukrainian hybrid-warfare threat-intelligence firm, took a [EUR 8.5m Series A led by 33N Ventures](#); Foundational raised EUR 9.6m pre-seed for satellite laser ranging; Deepslate took EUR 7.7m seed for speech models with European data sovereignty; OSCP raised an undisclosed Series A for photonic gyroscopes for GPS-denied navigation. Those smaller rounds rest on one aggregator and should be read as reported rather than verified. Photon also announced \$4.5m to replace mobile apps with agents in iMessage and RCS. On EDGAR, 25 S-1 and S-1/A filings were dated October 1 and not one was a venture-backed technology IPO.

WHAT IT MEANS

Three of the four European rounds are dual-use - threat intelligence, precision positioning, navigation without GPS. European defence money is finding seed stage, and the IPO window stays shut a day after Oura's pulled listing.

WATCH NEXT

Any Oura re-launch or formal withdrawal, and whether a European defence-tech fund announces a new vehicle.

The Supreme Court will decide whether ICE can detain without a bond hearing

WHAT HAPPENED

In [Order List 609 U.S., dated October 1](#), the Court granted certiorari in 26-104, Rhoney, Acting Director v. Barbosa da Cunha - a direct challenge to the administration's July 2025 guidance treating noncitizens who entered unlawfully as subject to mandatory detention with no right to a bond hearing during removal proceedings. The [Second Circuit, sitting en banc on September 25](#), held that 8 U.S.C. 1226 rather than 1225(b) governs, so bond hearings remain available. The Fifth and Eighth Circuits have gone the other way. No argument date has been set.

WHAT IT MEANS

This is the detention architecture, not a single removal. Whichever way it goes applies to everyone in removal proceedings who entered without inspection, and it resolves a split that currently makes a person's liberty depend on which circuit arrested them.

WATCH NEXT

The argument calendar when it issues - the term opens Monday October 5 - and whether the government seeks expedition.

Permitting reform finally has text, and data centres have to pay for their own wires

WHAT HAPPENED

The leaders of both relevant Senate committees - Martin Heinrich and Mike Lee of Energy and Natural Resources, Shelley Moore Capito and Sheldon Whitehouse of Environment and Public Works - released [legislative text for the American Affordability and Jobs Act of 2026](#), with the text landing Thursday, a day after the deal itself. Permits for approved projects would stay valid absent extraordinary circumstances, legal violations or a court order. Buried in it: a requirement that data centres pay the transmission costs associated with their operations. Lee: "We once built projects like the Hoover Dam, the Golden Gate Bridge, and the Empire State Building in years, not decades."

WHAT IT MEANS

The transmission-cost provision is the AI story. Every hyperscaler siting plan assumes socialised grid upgrades; this would put the bill on the load that caused it, which changes the economics of where a data centre goes.

WATCH NEXT

Committee markup dates, and whether utilities or the hyperscalers move first to lobby the transmission clause out.

A single Republican PAC spent \$131m in Texas in seventeen days

WHAT HAPPENED

An FEC filing disclosed Thursday shows a newly created Texas PAC affiliated with the Senate Leadership Fund [spent \\$131m over seventeen days](#) backing Ken Paxton and attacking Democratic state representative James Talarico, including \$61.4m in two days. The two are essentially tied in the polls. On the other side, Lone Star Rising PAC has spent \$13.9m since January, Senate Majority PAC has started spending, and Talarico has booked roughly \$35m in advertising through election day. An unnamed Republican strategist: "When we told people [Texas] would cost \$150 million to \$200 million, we weren't making that up."

WHAT IT MEANS

Texas was supposed to be the cheap seat. Spending at \$7.7m a day five weeks out means internal polling says it is not safe, which matters more for reading the Senate map than any public survey does.

WATCH NEXT

The next FEC filing, and whether Senate Leadership Fund money starts leaving Ohio or Iowa to feed Texas.

The "third carrier" heading for Iran is a relief in place, not a build-up

WHAT HAPPENED

Al Jazeera reported Friday, citing one unnamed US official, that the [USS Theodore Roosevelt strike group has sailed for CENTCOM](#), putting three carriers and two amphibious groups around Iran by late November, with around 50,000 US personnel already in the region. The Navy's own order of battle tells a narrower story: the [USNI fleet tracker](#) has the George Washington and the George H.W. Bush on station in the Arabian Sea, the Roosevelt departing San Diego on September 27 to relieve the George Washington, and the Abraham Lincoln heading home 314 days into deployment. The Makin Island group, which sailed September 28, is positioned to relieve the Boxer group. There is no Pentagon confirmation of any of it; defense.gov is not publishing on it.

WHAT IT MEANS

Two carriers remains the steady state, with a brief three-carrier overlap during turnover. That distinction is the difference between a rotation and a decision, and the coverage has collapsed it.

WATCH NEXT

Next week's USNI tracker for where the Roosevelt actually turns, and any CENTCOM release naming hulls.

Russia hit a commuter bus in Kramatorsk and a Kyiv bridge repeatedly

WHAT HAPPENED

Overnight into Friday Russia launched 108 Shahed-type drones, 47 of them jet-powered, with Gerbera and Parodiya decoys. Ukraine's air force claims 88 were downed or suppressed, with strikes at eleven locations. Ukrainian regional officials report [two killed and 27 injured](#), including one dead in Donetsk Oblast and one in Kyiv; in Kramatorsk an FPV drone struck a passenger bus during the morning commute. Zelensky said Shaheds hit Kyiv's Pivdennyi Bridge several times. Every interception count and casualty figure here is Ukrainian and unverified; the Kramatorsk city council's statement is a party to the war describing it.

WHAT IT MEANS

Forty-seven jet-powered drones in a single night is the second consecutive night at that tempo, and the target set - a bridge, a bus, a kindergarten, a grocery store - reads as pressure on civilian movement rather than a military objective.

WATCH NEXT

Whether jet-drone volumes hold above forty a night, and Western interceptor deliveries.

Eritrea severs all diplomatic relations with Ethiopia

WHAT HAPPENED

Eritrea's foreign ministry announced Thursday that it has [broken off all diplomatic relations with Ethiopia](#) in retaliation for Addis Ababa expelling Eritrean diplomats. The statement: "Eritrea has no option but to reciprocate in kind and sever all diplomatic ties with Ethiopia with all the negative corollaries that this entails." The announcement does not say which diplomats were expelled or when the Ethiopian order was issued, and it does not itself reference Tigray or the Assab port question. It was carried independently by Al Jazeera and Arab News.

WHAT IT MEANS

Two states that fought a war over a border and nearly restarted it over a port now have no formal channel between them. "Negative corollaries" is diplomatic language doing very little work to hide what it means.

WATCH NEXT

Any African Union or IGAD mediation offer, and troop movements near Assab or the Tigray frontier.

SOURCES

[TrendForce - Tencent reportedly leases 100,000 AI chips from Oracle](#)

[Tencent - 2026 second quarter results \(primary\)](#)

[Fortune - HPE's \\$1.2bn Vultr order](#)

[Fortune - Halluminate raises \\$30m Series A](#)

[TrendForce - 2027 HBM blended ASP forecast +121% \(primary\)](#)

[Seoul Economic Daily - HBM prices to more than double in 2027](#)

[Micron - FQ4 2026 earnings call transcript, September 30](#)

[SOXX daily history](#)

[ISM - September 2026 Manufacturing PMI report \(issuer text\)](#)

[S&P Global - final US Manufacturing PMI, September \(primary\)](#)

[US Department of Labor - weekly unemployment claims \(primary\)](#)

[Benzinga - October 1 market summary](#)

[US Treasury - daily par yield curve, October 2026 \(primary\)](#)

[Investing.com - WTI crude historical data](#)

[EnergyNow - oil jumps as China halts fuel exports](#)

[Fortune - stolen Nvidia-branded truck found full of sand](#)

[Help Net Security - Armadin raises \\$255.5m](#)

[TechCrunch - Satlyt raises \\$8m to run AI on satellites](#)

[TechStartups - October 1 funding slate](#)

[Supreme Court - Order List 609 U.S., October 1, 2026 \(primary\)](#)

[Second Circuit - Barbosa Da Cunha en banc opinion, No. 25-3141 \(primary\)](#)

[Senate Energy Committee - American Affordability and Jobs Act of 2026 \(primary\)](#)

Axios - \$131m in 17 days in the Texas Senate race

Al Jazeera - US to send third carrier toward Iran

USNI News - Fleet and Marine Tracker, September 28, 2026

Kyiv Independent - Russian attacks kill 2, injure 27

Al Arabiya - Eritrea severs diplomatic ties with Ethiopia